TABLE 7.2 Average Five-Year Cumulative Growth of Fundamentals of Stocks Prior to Selection for Contrarian Value and Glamour Portfolios (1963 to 1990)

Pre-Selection Characteristics of Price-to-Earnings and Sales Growth Portfolios

	Glamour	Contrarian Value
Growth in Earnings (%)	18.7	9.7
Growth in Cash Flow (%)	18.1	7.4
Growth in Sales (%)	15.2	2.5
Growth in Operating Earnings (%)	18.2	5.9

Pre-Selection Characteristics of Price-to-Book Value and Sales Growth Portfolios

	Glamour	Contrarian Value
Growth in Earnings (%)	15.9	−6.7
Growth in Cash Flow (%)	18.0	1.3
Growth in Sales (%)	62.3	10.7
Growth in Operating Earnings (%)	14.3	0.2

Pre-Selection Characteristics of Price-to-Cash Flow and Sales Growth Portfolios

	Glamour	Contrarian Value
Growth in Earnings (%)	14.2	8.2
Growth in Cash Flow (%)	20.5	4.7
Growth in Sales (%)	11.2	1.3
Growth in Operating Earnings (%)	15.9	−6.7

and operating earnings for each of the Glamour and Contrarian Value portfolios in the years leading up to the formation of each portfolio.

Table 7.2 shows that the Glamour stocks were considerably more attractive on a fundamental basis at the time of acquisition than the stocks in the Contrarian Value portfolios. In every instance, the Glamour portfolios were growing sales, earnings, operating earnings, and cash flow at a considerably faster rate than the comparable Contrarian Value portfolios. Table 7.3 shows that the Glamour portfolios were also considerably more expensive than the Contrarian Value portfolios.

The stocks in the Contrarian Value portfolios were comprehensively cheaper than the comparable Glamour portfolios on every metric but one; the stocks in the Contrarian Value portfolios formed using price-to-book value and sales growth were more expensive on a price-to-earnings basis than the stocks in the comparable Glamour portfolio, possibly because the earnings